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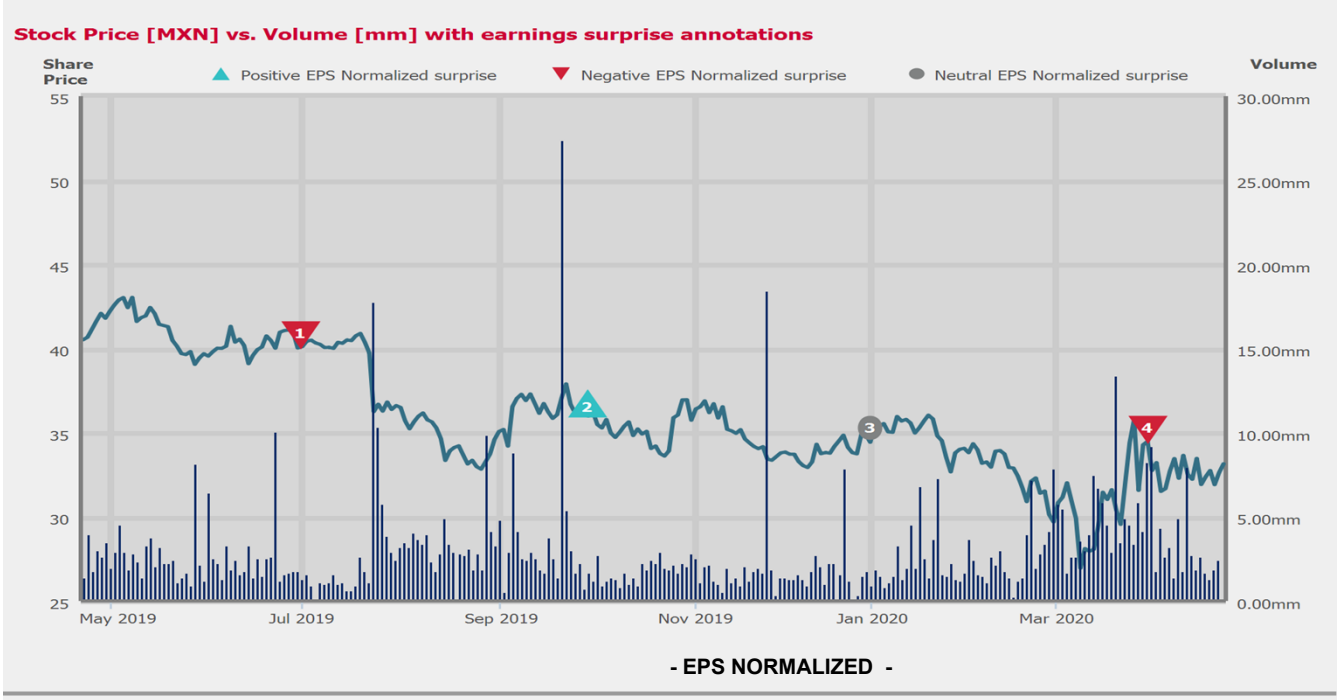
Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A FQ1 2020 Earnings Call Transcripts

Monday, April 27, 2020 10:00 PM GMT

S&P Global Market Intelligence Estimates

	-FQ1 2020-			-FQ2 2020-	-FY 2020-	-FY 2021-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.26	0.01	(96.15 %)	0.27	1.41	1.73
Revenue (mm)	74360.48	-	0.06	78215.82	314907.17	322382.12

Currency: MXN
Consensus as of Apr-27-2020 12:14 PM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ2 2019	0.36	0.26	(27.78 %)
FQ3 2019	0.39	0.42	7.69 %
FQ4 2019	0.39	0.39	0.00 %
FQ1 2020	0.26	0.01	(96.15 %)

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Table of Contents

Call Participants	.....	3
Presentation	.....	4
Question and Answer	.....	7

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Presentation

Operator

Good day, everyone. And welcome to Grupo Bimbo's First Quarter 2020 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded, and that the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, thank you very much. Good afternoon, everyone. On behalf of Grupo Bimbo, I hope that you and your families are healthy and staying safe during these times. Thank you for joining us today. Connected on the line today is our CFO, Diego Gaxiola; our BBU President, Fred Penny; and several members of our finance teams.

These are certainly unprecedented and very difficult times for all of us. We're living through the most serious health crisis we have ever faced, and the depth of its economic and financial implications for countries and businesses around the world is yet to be determined. We are unwavering in our determination to successfully navigate the challenge of these complex times, and we have the resilience and agility to do so. Our experienced leadership in every country and our production capabilities enables to serve consumers during this time of disruption and extraordinary demand. Our company has a great responsibility to feed and serve people all over the globe and a greater opportunity than ever before to live our beliefs, to demonstrate our purpose and to fulfill our mission, to put delicious and nutritious baked goods and snacks in the hands of all.

This wouldn't be possible without the commitment and determination of our more than 134,000 associates. We especially thank our bakery, distribution center and sales center associates for their extraordinary efforts in baking, distributing and delivering our products to all the stores so that we can continue to feed our consumers.

As the virus has spread around the world, we have taken steps to ensure the safety of our associates, and we have put in place plans to ensure the continuity of our operations. We have all also made financial decisions, which Diego will be talking about shortly, focusing mainly on cash generation and preservation, so that we have more flexibility in this environment.

I would like to start by emphasizing that we have a strong global presence in an essential industry. And this is reflected in our recent results, where we posted a 7% growth in sales and over 11% increase in adjusted EBITDA. We saw increased demand, especially in the last 2 weeks of March as consumers have stocked up on food and shift rapidly to eating more at home. Many of our plants and distribution routes are operating at full capacity, given the great demand for bread, buns, sweet baked good, cookies and tortillas, mainly in the modern channel. On the other hand, our QSR and foodservice businesses, which represent less than 10% of our consolidated sales, have been under significant pressure as a reflection of some customers' closing stores, or stores with substantially less traffic as well as some channels such as school and vending that are temporarily closed.

Our teams have been working tirelessly to support our customers, consumers and associates and to continue operating effectively with no major disruptions so far. Some of the actions we have taken across our supply chain are: with our people, the safety of our people is our priority. So we have required social distancing, encouraged any office associates that can work from home to do so, provided additional hygiene steps daily and the right equipment and required temperature checks at our facility to ensure the safety of our frontline associates.

In supply, we are buying key raw materials in advance to ensure the continuity of production. We are in close and active communication with our main suppliers to align supply based on risks and on recent trends.

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In manufacturing, we are prioritizing high-volume, fast-moving SKUs to optimize production capacity, and we are increasing our capacity where needed. For instance, we recently reopened our Hazelton, Pennsylvania bakery in the U.S. Production lines that provide basic food to families, mainly bread, are operating at full capacity to meet consumer needs. However, our QSR plants are operating well below their total capacity with 4 of them closed due to country lockdowns and lack of demand.

Our Wuhan plant in China, which was closed in January, has recently been reopened. With our channels, customers and consumers, our emphasis is on great service working to anticipate our customers' needs and our consumers' behavior. We are increasing our presence in those channels with higher demand, such as the modern channel, balancing the decline in the other channels like QSR and foodservice.

And within our communities, we have made several global donations to make sure that we support them in these difficult times.

Now taking a look at our results of the quarter by region. In North America, sales increased 9.8%, benefit by healthy volume growth and FX rate benefit, while dollar sales increased by nearly 6%. The mainstream bread, buns, snacks and sweet baked goods categories all outperformed across the region as did multiple channels such as grocery, mass merchandising and club. New product launches, such as Thomas' Pick Me Ups and Mini Croissants, also contributed to growth. This was partially offset by weak volumes across the QSR and foodservice businesses due to the COVID-19 outbreak.

Adjusted EBITDA slight margin contraction reflected higher administration expenses related to accounts receivable provisions made in light of COVID-19 and the challenges faced by some of our foodservice customers. But this was almost fully offset by the benefit of productivity initiatives and by lower restructuring expenses.

In Mexico, sales increased 6.2%, driven by good performance in most categories, primarily bread, sweet baked goods, tortillas and cookies as well as most channels, mainly the modern channel. These results were partially offset by weak results across the foodservice channels due to COVID-19 pandemic as well as pressure in the confectionery and snacks categories.

In Latin America, the 3.8% sales increase was attributable to good growth, especially at our Latin Centro division and across most countries, mainly Brazil, Peru and Paraguay as well as FX rate benefits. Productivity initiatives across the region have enabled us to expand our margins as well as a recovery in our Brazilian operation.

In EAA, sales increased 1.8% on the back of strong performance of our packaged-branded business across most geographies, while we did see pressure coming from the QSR business mainly in China due to the pandemic. EBITDA margin in EAA improved by 90 basis points, reflecting the good sales performance, coupled with lower general expenses, which was offset by integration expenses, in part, related to the closure of our Granollers plant in Spain, which is part of the last phase of the integration of our donut business.

Finally, while we all remain focused on executing through this rapidly evolving situation, I would like to reaffirm our commitment to our consumers, customers, associates, suppliers and communities and more importantly, to emphasize that our long-term strategy has not changed. We continue to closely monitor the current situation and remain flexible, enabling us to pivot to best serve all our stakeholders and to maximize our opportunity in the markets. We will continue to provide updated information as the situation evolves.

I would like now -- like to turn over the call to Diego, who will walk you through our financial decisions and results. Please, Diego, go ahead.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Thank you, Daniel. Good afternoon, everyone. I hope that you and your loved ones are healthy and taking good care. I would like to start by mentioning the specific financial decisions we made in the past weeks, which are mainly focused on cash generation and preservation, making sure that we have more flexibility in this environment.

First, we are completely reviewing our CapEx plan for the coming months, carefully reducing administrative expenses and postponing some restructuring projects as well as reducing general expenses where possible. We drew $720 million from our committed revolving credit facility, which has a total value of $2 billion. The drawn credit line has a maturity on October

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2023. The resources will be used to refinance our outstanding $200 million bond maturing in June of this year, while the balance was drawn to increase our liquidity, having the flexibility and our financial strength.

With this, we keep a solid amortization profile with an average maturity of 12 years and still have $1.3 billion outstanding that provide us with more flexibility and liquidity for future needs.

Given the recent FX volatility, I would like to remind you that we hedge our FX needs, mainly in markets like Mexico, where we have a rolling policy that goes up to 14 months. And we had the majority of our U.S. dollar needs already hedged for 2020 before the devaluation of the peso.

Now moving into the results of the quarter, I would like to start by mentioning that our adjusted EBITDA is now comparable and includes the effect of IFRS 16 for both periods. Top line increased 7% as a reflection of strong consumption demand across most markets and, to a lesser extent, FX rate benefit. Adjusted EBITDA margin improved by 50 basis points. Please note that EBITDA is being adjusted by $150 million noncash charge related to MEPPs, which was registered to reflect the recent decline in interest rates.

It is worth highlighting that our business today is more diversified than it has ever been, with Mexico now representing only 32% of our sales. Over 50% of our revenues are denominated in hard currency. Our financing costs declined by nearly 15%, mainly associated with an FX rate benefit coming from the hedging strategy, which more than offset the higher interest expenses arising from a higher debt level and a higher exchange rate. The net effect of these factors yielded a significant decline in net majority income due to the MEPPs noncash charge. If we exclude this charge, it will have increased more than 40%, and the margin expanded 60 basis points.

Turning to the balance sheet. We ended the quarter with a net debt to adjusted EBITDA ratio of 2.8x. Our total debt increased by MXN 33 billion due to the withdrawal from the revolving credit line that I mentioned and the depreciation of the Mexican peso. Our operating working capital, which mainly considers accounts receivables, inventories and suppliers, has improved significantly by 6 days over the same period of 2019, which is the equivalent of MXN 5.2 billion, mostly due to a sequential improvement in our accounts receivable processes and supply chain finance program implemented in North America.

Finally, our free cash flow before dividends and the share buyback program totaled MXN 2.7 billion in the first quarter. With that, I will conclude my remarks. So please, we will open the mic for the Q&A.

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Question and Answer

Operator

[Operator Instructions]

Our first question today comes from Ben Theurer with Barclays.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

First of all, congrats on the result. These are definitely challenging times, but a pretty decent first quarter result here. Two quick questions, if I may. So first, Daniel, you shared that foodservice is a little less than 10% of sales of your consolidated business and clearly has been significantly under pressure. Could you share a little more detail from a regional perspective, how relevant is foodservice in Mexico, North America, LATAM and EAA? Is it all the same, more or less? Or is there a significant difference in the different regions? And how do you think that business is going to come back on over time? And how easy is it to potentially adjust some of the production that's dedicated for foodservice into retail with what is likely going to last with more increased demand on the retail side? That would be my first question.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. Well, thank you, Ben. Let me tell you that most of the sort of business -- the QSR business is evenly present in all the regions with the exception of EAA, which is the one who has the highest percentage of QSR business. In the rest, I would say that we cover very well the channel, but it represents more or less a similar proportion of our sales relative to the wholesale business that we have. We're seeing that in China starting to recover the QSR market as well as Korea. And we are hopeful that we will start to see a good trend over the coming quarters in terms of how they fast can get back to their previous levels. It's not going to be certainly in Q2 or Q3, the same level as we had in Q1, but we're thinking that we're on the right track as we're starting to see the situation evolve country by country. And we do have the capability in most of our facilities to shift the QSR business to the retail, if there is enough demand on that end.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Okay. Perfect. And then I have an accounting question for Diego. So on the MEPP, the $150 million charge, 2 questions associated. So one, at what FX rate did you adjust during the quarter? My math shows me roughly MXN 20. Would that mean that you have to adjust again in the coming quarters? Or is it only a matter of fact where interest rates stand and not so much where actual FX rates are? So just to understand what drives the revision and what you've been using in order to revise the number and basically run it through the income statement.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. Thank you, Ben. We tell you, the exchange rate -- the average exchange rate for the quarter, it was MXN 20.50, although on the average for the MEPPs because of the weight that it had in March with the impact, it was probably slightly higher than that, probably closer to MXN 21. Now the effect has to do with a decline in interest rates. So just to be clear, if we were not to see any changes on interest rates, we will not have any additional impact. So because of the FX, it's not that we will have to adjust the amount that we recognized in Mexican pesos. Now as you know, rates have been very volatile. I mean as for last Friday, rates were still lower than what we ended the first quarter. So I would probably say, depending on how rates go, we might see some additional impacts. So I mean, rates are at a very low level and most of the effect is already reflected.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Okay. Just to understand, is it a question of a 10-year, a 30-year treasury? What's the underlying rate I have to look at in order to understand in the future? Because, obviously, I just have to look it up by the end of June, but I'd like to know which rate I have to revert to.

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Diego Gaxiola Cuevas
Group Chief Financial Officer

Well, it's a combination of rates because we match the liabilities with the rates. But I mean, if you use the 10 and the 30 years, you're going to get close to the number that we will have to recognize.

Operator

Our next question comes from Isabella Simonato with Bank of America.

Isabella Simonato
BofA Merrill Lynch, Research Division

Can you elaborate or give us a little bit more color of how volumes evolve throughout the first quarter, how was March specifically? You saw Nielsen data in the U.S. quite strong, so if you could provide a little bit of color of how volumes performed throughout Q1, and how are you seeing April up until now? If you -- the strength continues? Or if you understood the volume in Q1 is more of a restocking?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, it's a mix and match story. It's not a very uniform situation by country. What we can tell you is that we're seeing, in general, in almost all the countries, a good growth in the modern channels and in the pantry type of products like bread, buns, tortillas, toasted bread. In almost all the markets, we have seen that these categories perform well. And in almost all countries, we have seen that the modern trade performs very well.

Depending on the countries, there are some countries that do perform better than others. I would say the ones in North America do -- have been performing well in the last weeks of March or the last week of March and the last weeks also in the month of April. So that varies.

In Latin America, we had countries that performed well for 1 week and then they drop, and others that have remained strong on the volume side for as long as this crisis has been happening. So what we're reflecting in the volumes, it's the beginning of the crisis. April, we have seen some of the volumes go more normal but that depends on each country. And certainly, we will report like that on the next quarter, how the quarter ended.

Operator

Our next question comes from Felipe Ucros with Scotiabank.

Felipe Ucros Nunez
Scotiabank Global Banking and Markets, Research Division

Congrats on the operating results. I hope your families are well. Let me ask my first question around capacity and the status of capacity. You did mention that some plants were performing at full capacity, obviously, from the high demand on your products and that you've been trying to adjust by adding new capacity, Hazelton being a key example, I'm not sure if you have more of those. But I was wondering how that capacity utilization is distributed throughout your locations and whether you're having to [deplete] stocks to meet demand or whether you can still increase production to meet any additional demand that may be needed? So just trying to get a sense of how constrained our production is, if at all.

And then the other question I wanted to ask you about was about the COVID situation at plants. You may have seen that some of your peers, [GRUMA] in particular, and ARYZTA reported that they had plant closures due to COVID situations in the U.S. Just wondering if you've had any disruptions due to employees being sick in the lines?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, yes. In terms of capacity, what I can tell you is that we were able to -- whatever we had some capacity left in these lines of products that were in strong demand, we used it. And in some cases, we no longer were able to provide more product than what we could supply. As we were mentioning, nowadays, most of the capacity constraint is up. We were able to supply most of the demand nowadays. And we're -- we haven't had any cuts due to supply problems with our suppliers. So we're feeling very good about the work our teams have done in all the countries.

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The second question was regarding the COVID effect. We basically have nowadays 4 plants that are closed, but not because of any COVID problem inside our plants. It's -- those plants are QSR plants in France, South Africa and Morocco and Kazakhstan. So they're related more to the closure of the QSR business in those countries. We have been able to have good safety measures in our plants. And so far, we have had a good record on being able to produce in our plants.

Felipe Ucros Nunez
Scotiabank Global Banking and Markets, Research Division

Okay. That's great. Great to hear. Maybe if I can do a follow-up on QSR. We've heard some reports that restaurants are running at around 40% capacity in China, I was wondering if that's more or less in line with what you're seeing from your clients in QSR in China? And just wondering whether you have an opinion yet on how that may play out in the Americas as compared to China?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, we have, I would say, a bit higher number than the one that you mentioned about. And we're seeing an upward trend every week since they restarted their economy.

Felipe Ucros Nunez
Scotiabank Global Banking and Markets, Research Division

Great. And do you think the Americas will behave sort of similar or no idea at this point?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, the big difference in the U.S. and other markets is the takeout -- the drive-through and the takeout part of the business. And that has eased up a little bit the problem compared to other markets that were more sit-in type of customers.

Operator

Our next question comes from Barbara Halberstadt with JPMorgan.

Barbara Virginia Guimaraes Halberstadt
JP Morgan Chase & Co, Research Division

What I wanted to ask is about the working capital for the second quarter and going forward, how you're thinking about it? You mentioned you were anticipating and planning ahead more of your supply of raw material purchases. So just trying to understand how that would pressure, if at all, your working capital for the following quarters?

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. Well, what I can tell you is, we do expect to see some pressure, particularly on accounts receivables in some specific operations, probably a bit more within the QSR customers that we have. But on the other hand, we're also speeding up the supply chain finance program that we have been working on in the U.S. and Canada. And we feel quite optimistic this will continue to bring some additional benefits on the working capital position of the company. And we're also analyzing on the different tax incentives that have been established on the different markets. You know that every country has been putting different measures. Some of them will have a delay on the obligation of paying some taxes that will also help on our cash position for the end of 2020. And in some other cases, we're even having a relief of paying taxes that will help not only on the working capital, but also on the net income of the company for the full year. Still, we don't have a number, we're doing all the analysis, all the stories in order to see what really applies for us in every market.

Operator

Our next question comes from Alan Alanis with Santander.

Alan Alanis
Santander Investment Securities Inc., Research Division

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Daniel and Diego, first, I hope you and your families are fine. I have a question around pricing. But the way I'm going to frame it has to do with what we should expect going forward and other things that you said already during the call. I think it's natural to expect that we're going to see a lot of down-trading of products across geographies, maybe in some geographies much more than others, and this will put pricing pressure down. At the same time, I think, Diego, you mentioned that you have already hedged the currency for this whole year. So I guess 2 questions. What is your pricing strategy for this year across regions? Would you -- is it the time to give a break and we should see some weakness on those pricing as people down trade and you're already hedged? And I guess the second question and maybe more of a statement is -- a validation of the statement is, it seems that the prices of raw materials have been coming down in U.S. dollars, I mean, particularly sugar, corn and so forth. Are you seeing that as well in terms of less pressure on raw materials that will give you some space to not push the pricing lever across your geographies, Daniel?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, good afternoon, Alan. Let me tell you that -- I mean, we -- obviously, there has been some devaluations in some countries. In some, we have been able to cover our costs. In some others, we haven't. So we're managing these very -- with a lot of care and cautious. We don't want to raise prices, and we have to be very careful of the environment. In the future, we are trying to optimize our mix whenever it's possible. But to be very careful with the price increases. So we're sensitive that in some countries, we will see, in the medium term, some trends towards down trading and what we hope is to have also alternatives for consumers in the different markets and regions and channels. So again, this is a mosaic, and we have to treat every channel and every category in every country in the particular way so as not to lose volume or minimize earnings. So it's a delicate balance, the one that we're doing, and that's what we ambition to continue to do.

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. And Alan, probably, let me complement what Daniel mentioned just by giving you the specifics on the hedging strategy that we have both for FX and commodities. It's a rolling strategy. In the case of commodities, we can go up to 18 months of hedges. So the effect that you mentioned regarding the lower cost on some commodities is not going to be reflected on our results probably until 1 year, 1.5 years from now. And the philosophy that we have for this strategy is to provide to the different operations in all the different markets, which conditions are quite different in terms of the possibility of moving prices and establishing the right pricing strategy, is in order to provide that certainty for the operations, so the different operations have time to react and to adapt prices based on the estimated costs either from commodities or exchange rate when it applies like the case of Mexico and other Latin American markets as well as Canada, that we also hedged the Canadian dollar versus the USD.

Alan Alanis
Santander Investment Securities Inc., Research Division

That is very clear, and that's very useful. I mean having that certainty in terms of the FX and the commodity prices for the 18 months should help you manage the mosaic of decisions that you have to make in terms of pricing. So that's very clear. And stay safe.

Operator

Our next question comes from Lucas Ferreira with JPMorgan.

Lucas Ferreira
JP Morgan Chase & Co, Research Division

I have 2 questions. The first one is on your buybacks. So you've been very active. I'm wondering if you're going to renew the plan, if you're going to keep on executing buybacks and if you can give us more details? The second question is on Latin America. You mentioned a few reasons for the improvement in profitability. So wondering if you can give us some more details on that? And wondering if these are all sustainable gains you're seeing your margin levels for Latin America? Yes, anything -- any color you can give us in LATAM would be appreciated.

Diego Gaxiola Cuevas
Group Chief Financial Officer

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Yes. Well, you're right. I mean we were active with the buyback program. We did almost MXN 1.7 billion during the first quarter. In total, we have bought back almost MXN 4.8 billion -- MXN 4.7 billion, out of the MXN 5.2 billion that we have as the limit on the legal reserve. I would say that we will continue to analyze opportunities. We will be active as we believe that it creates value to our shareholders. But I want to be very clear that today, the priority is the cash generation and the cash preservation in the company. As long as we continue to have a strong cash flow generation, as it was the case in the first quarter, we will continue to be active and analyze potential opportunities with the buyback program.

Regarding Latin America, I would say that we have started to see positive numbers with a positive trend in Brazil, as Daniel mentioned during the conference. Some other markets have also presented positive results. It's hard to tell if this will continue to be the case for the full year because we have to better understand what's going to be the impact not only from the health crisis but the economic crisis that we're going to face in the different markets. So probably today, it's hard to assure that we will maintain this trend.

Operator

Our next question comes from Álvaro García with BTG.

Álvaro García
Banco BTG Pactual S.A., Research Division

I hope your family is well. I have 3 questions. The first one, I was wondering if you could sort of -- Diego, you mentioned your focus is on preserving cash at the moment, but I was wondering if you could sort of grade your appetite for M&A? I'm assuming that there might be some opportunities in the QSR space and in the food space, generally. So at 2.8x net debt-to-EBITDA, I was wondering if you could grade your appetite for M&A?

Diego Gaxiola Cuevas
Group Chief Financial Officer

Well, thank you, Álvaro. I would say that even before what we're living today, we have been very clear that we're pursuing some acquisitions, bolt-on acquisitions, nothing really big that could put additional pressure into the leverage of the company. We did have this increase on the leverage because you know the way it works on the accounting side, we had to reflect the new exchange rate on the debt. And the P&L still hasn't seen this positive effect from the EBITDA that we have outside of Mexico that will be higher in the coming quarters, and it was only 1 month out of the last 12 that we had the devaluation of the peso. So I would say probably that today, this 2.8x, it's probably higher than what we are expecting to finish the year because of this positive translation effect that we will have in the coming quarters, assuming that the exchange rate stays more or less where it is today. So again, just some bolt-on opportunities. We have our eyes very open, and we will analyze any opportunity.

Álvaro García
Banco BTG Pactual S.A., Research Division

Great. That's very helpful. And then on Europe, Asia and Africa, we saw stronger profitability than expected given the hit to QSR in the quarter, and I was wondering if you could sort of help us walk through -- our understanding is that the QSR assets you purchased East Balt had much higher levels of profitability, so from a mix standpoint, it was a bit surprising to see your profitability so strong. So maybe I don't know if you could point to what was driving that, whether it was stronger performance out of Iberia or maybe some other driver there?

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. It was probably mixed. As you can imagine, in China, with the slowdown on the -- on our QSR customers, that it's an important piece of the business in China and in the region. It was not as strong as what we typically saw every quarter before this pandemic. On the other side, the good news is Spain, which is the biggest of the operations in EAA, and it presented, as we were seeing since a year ago, a very positive trend, strong numbers and that helped the region to achieve this margin expansion of almost 1 percentage point on the EBITDA, even with the pressure that we saw in China and some other QSR markets.

Álvaro García
Banco BTG Pactual S.A., Research Division

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Very impressive on that front. And just one last one, I'm sorry for all the questions. On MEPPs, specifically on your multi-employer pension plans, sort of taking a step back and taking a longer-term view here. I was wondering, first, if you can remind us on your annual contribution, your cash contribution that's present in your OpEx that we see in your P&L? And second, maybe your level of optimism with regard to reform in the U.S. There are some sort of expectations that we'd see that at the beginning of this year. We obviously haven't seen that given what's transpired, but sort of some form of update to your level of optimism with regard to reform?

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. Our cash contribution on MEPPs, it's a little bit above $100 million a year. It's been stable on that amount. And I think it's a very good question on the second one. I mean hard to tell. We'll probably feel a little bit more optimistic with this program that the government in the U.S. has established for these $2 trillion. We believe that the probability of seeing something flow into the pension plans, it's higher. So we probably feel a little bit more optimistic that we can see some help in this regard.

Operator

Our next question comes from Ben Theurer with Barclays.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Yes. Just a quick follow-up, and I was looking up. So you've mentioned that you're basically analyzing some of your CapEx commitments for this year as well as some of the restructuring. So I was just wondering from the ballpark you gave during the fourth quarter conference call, when you said you expect CapEx to be in somewhere between $700 million to $800 million. How much of that CapEx is some sort of indisposable, i.e., maintenance CapEx you have to do? And how much would be more, like, strategic CapEx, if you want to call it that way, that could be potentially delayed considering how you want to preserve CapEx? And how is that actually related to some of the restructuring initiatives you're having on the business that you've recently acquired?

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. The maintenance CapEx that we have, it's something between $400 million to $450 million every year. We still haven't arrived to the final number of where we're going to land for 2020. On top of the maintenance CapEx, that of course, we're not going to take out anything, there are some projects, strategic projects that were already in place that we started last year, but it doesn't make sense to stop the investment. And there are some other strategic projects with a very good return that because of the cash flow generation that we have been able to achieve, we will go forward with these projects. So there are some, I would like to say, they are not going to be canceled. They are going to be postponed until we see things start to stabilize with the health crisis. And definitely, this will help on the cash flow generation, we feel. I am very confident that instead of being something between $700 million to $800 million, it's going to be below that number, but still, we haven't finished the detail in order to provide good guidance. And I'm sure we will do it in the next conference call.

Operator

Our next question comes from Ron Dadina with MUFG.

Ron Dadina
Mitsubishi UFJ Financial Group, Inc.

I know this question has been asked earlier, but I still don't have a complete handle on it. For your system as a whole, what percentage of total sales is to the QSR channel? And for the second quarter '20 as well as for the rest of the year, do you think the retail channel will be able to absorb the drop in sales? And if not, roughly what is the expected overall drop off in volumes or revenues in second quarter or for the rest of the year? Appreciate your help with that.

Diego Gaxiola Cuevas
Group Chief Financial Officer

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Yes. Well, on the first question, foodservice is less than 10% of our revenues. And I'm sorry, I couldn't hear you very well on the second question. I don't know, maybe you can repeat it.

Ron Dadina
Mitsubishi UFJ Financial Group, Inc.

Yes. Will the sales to the retail channel fully absorb the drop in foodservice sales for the rest of the year or for second quarter 2020?

Diego Gaxiola Cuevas
Group Chief Financial Officer

Yes. It's probably early to tell. I mean, April has continued to be, generally speaking, a strong month. I think it's still early to tell on the expectation for the second quarter and for the full year.

Operator

This concludes the question-and-answer session. At this time, I would like to turn the floor back to Mr. Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, thank you all for your time today. Please do not hesitate to contact us with any further comments or questions you may have. Thank you.

Operator
Thank you. This concludes today's presentation. You may disconnect your line at this time, and have a nice day.

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